Trai tightens consumer complaint rules, caps penalties at ₹20 lakh

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Telecom firms may be penalised up to ₹20 lakh for improperly handling or disposing of consumer complaints, according to new regulations of the Telecom Regulatory Authority of India (Trai).

To tackle consumer grievances more efficiently, the regulator on Monday announced the amended Telecom Consumers Complaint Redressal (Fourth Amendment) Regulations, 2026.

These came nearly a decade after they were last changed.

Financial disincentives will be levied for failure to comply with the amended rules or if deficiencies in dealing with complaints or appeals are found during reviews or audits.

Penalties will start with ₹1,000 for a complaint improperly dismissed, and ₹5,000 per appeal on service providers, which would be capped at ₹20 lakh per quarter per service area or circle. The disincentive has been reduced from ₹50 lakh, first proposed by the regulator earlier in May.

Service providers will have to submit quarterly "performance reports" on the number of complaints and redresses they have disposed of. Failure to submit them will attract a financial disincentive of up to ₹5,000 per report daily for the first 15 days, and ₹20,000 per report per day subsequently.

This penalty has been capped at ₹10 lakh per instance per service area.

Trai has also levied interest on penalties at 2 per cent more than the marginal cost of lending rate payable on the outstanding penalty and applicable if the service provider does not pay up within 21 days.

The review of existing grievance-redress mechanisms follows a rise in customer complaints as well as change in the ways consumers flag grievances or file complaints, such as mobile apps, chat bots and emails versus calls or Interactive Voice Response System (IVRS).

The regulator has specified that every consumer complaint centre must run round the clock using human representatives, automated systems, or artificial-intelligence (AI) agents, or all of these, on condition that human representatives have to be present for a minimum of 16 hours every day.

Users will have to be notified whenever they talk to an AI agent.

Trai said despite the mechanism first introduced in 2012, and amended twice subsequently, the number of complaints had only risen.

In 2025-26 (FY26), 73,081 complaints were registered, far higher than the 55,978 in FY25 and 44,733 in FY24.

Among other amendments, Trai has said there will be online or manual periodic regulatory reviews or audits of service providers.

The advisory committee has been removed because it was making the appellate process ineffective.

The data on complaints will have to be kept for six months instead of three.

The data on the way a complaint or appeal was handled and addressed must be preserved for a year for audit or review.

Consumers can file an appeal with the appellate authority (AA) within 15 days instead of 30 after getting an unsatisfactory or no response to a complaint. The authority will have 15 days to resolve the appeal.

The appellate authority appointed by a service provider will have to be a senior employee with five years' experience. It would have to present a quarterly report on complaints and appeals to the board or chief executive officer to enhance accountability.

The rules will apply to providers with licences or authorisations for access either wireline or wireless, and internet services under the Telecommunications Act of 2023.

The new framework

- Applicable on telcos and internet service providers
- **Penalties:**

For improper complaint or appeal disposal:

- ₹ 1,000 per violation
- ₹5,000 per instance by appellate authority
- Cap of ₹20 lakh per circle

Failure to submit quarterly performance report:

- ₹5,000 per report per day for first 15 days
- ₹20,000 per report per day after 15 days
- Cap of ₹10 lakh per instance per circle
- The review follows a rise in customer complaints

